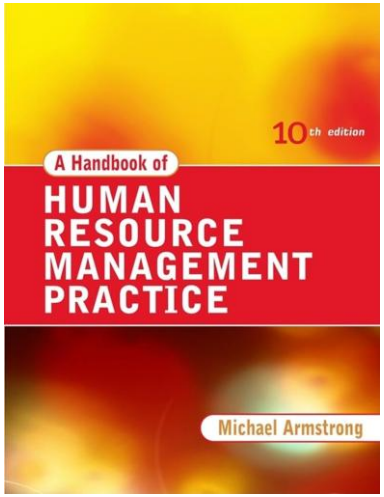
IT3120- Lecture 4 Introduction to Human Resource Management

HR Recruitment, Performance Rewards, Leadership, Negotiation, Power, Project Teams, Motivation and Personality



Lecture Objectives

- Explain the concept and importance of Human Resource Management (HRM)
- Analyze recruitment, selection, and performance management practices
- Evaluate reward systems and their impact on motivation
- Differentiate leadership styles, negotiation techniques, and power dynamics
- Examine project team effectiveness and collaboration in IT environments
- Apply motivation theories and personality concepts to workplace scenarios

What is HRM?
Human Resource Management

“HRM is a strategic and coherent approach to managing people as key organizational assets.”

"HRM is the practice of recruiting, hiring, deploying and managing an organization's employees"



What is HRM?
Human Resource Management

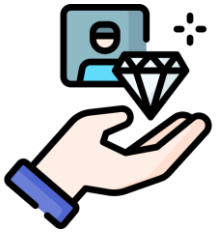
- HRM focuses on:
  - Managing employees as **key contributors to organizational success.**
  - Ensuring people are **effectively utilized and developed.**
  - Aligning employee efforts with **organizational goals.**

- HRM is not just administrative. It is a strategic function linked to business performance

Important Elements of HRM



These collectively ensure that organizations achieve **high performance and sustainability.**



Importance of HRM in the IT Industry

Human Capital as a Key Competitive Advantage

- People are **valuable assets.**
- In IT, success depends heavily on **skilled developers, engineers, and analysts.**
- Organizations gain advantage through **talent quality and expertise.**



Importance of HRM in the IT Industry

Strategic Alignment with Business Goals

- HRM ensures employees' skills and efforts are aligned with organizational objectives
- In IT companies, HR supports:
  - Innovation
  - Digital transformation
  - Project delivery timelines



Importance of HRM in the IT Industry

Talent Acquisition and Retention

- IT industry faces high competition for skilled professionals.
- HRM plays a critical role in:
  - Attracting top talent
  - Reducing employee turnover
- Ensures the organization attracts, develops, and retains the right talent to achieve business objectives



Importance of HRM in the IT Industry

Performance Management in Dynamic Environments

- IT work is project-based and fast-changing.
- HRM ensures:
  - Continuous performance monitoring
  - Feedback and improvement
- Focus on performance management as a continuous, systematic process involving goal setting, regular feedback, performance review, and employee development to improve organizational effectiveness



Importance of HRM in the IT Industry

Employee Development and Continuous Learning

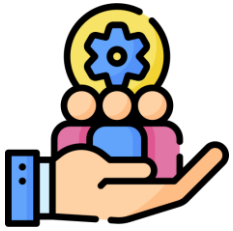
- Technology evolves rapidly therefore constant upskilling are required.
- HRM supports:
  - Training programs
  - Career development
- Learning and development of employees is as core HR functions



Importance of HRM in the IT Industry

Motivation and Engagement

- High-pressure IT environments require motivated employees.
- HRM ensures:
  - Reward systems
  - Recognition
  - Work-life balance
- Employee commitment and engagement are achieved through a supportive work environment, meaningful work, and recognition, leading to higher motivation and performance.



Importance of HRM in the IT Industry

Managing Teams and Collaboration

- IT projects rely on cross-functional teams (e.g., Agile teams).
- HRM facilitates:
  - Teamwork
  - Communication
  - Conflict resolution



Importance of HRM in the IT Industry

Managing Organizational Change

- IT projects rely on cross-functional teams (e.g., Agile teams).
- HRM facilitates:
  - Teamwork
  - Communication
  - Conflict resolution
- HRM supports change management by helping employees adapt, ensuring clear communication, and aligning people with new strategies.



HRM Functions - Overview

- **Recruitment & Selection**

  Identifying workforce needs, attracting suitable candidates, and selecting individuals who best fit the job and organizational culture.
- **Performance Management**

  A continuous process of setting goals, monitoring performance, providing feedback, and developing employees to achieve organizational objectives.
- **Reward Management**

  Designing and implementing pay, benefits, and recognition systems to motivate employees and retain high performers.



HRM Functions - Overview

- **Learning & Development**

  Providing training and development opportunities to enhance employee capabilities and support career growth.
- **Employee Relations**

  Building and maintaining positive relationships, handling conflicts, and ensuring employee well-being and engagement.
- **Resourcing Strategy**

  Planning how to acquire, retain, and utilize talent effectively to meet current and future organizational needs.

HR Recruitment



Recruitment is the process of identifying and attracting potential candidates to fill organizational vacancies.

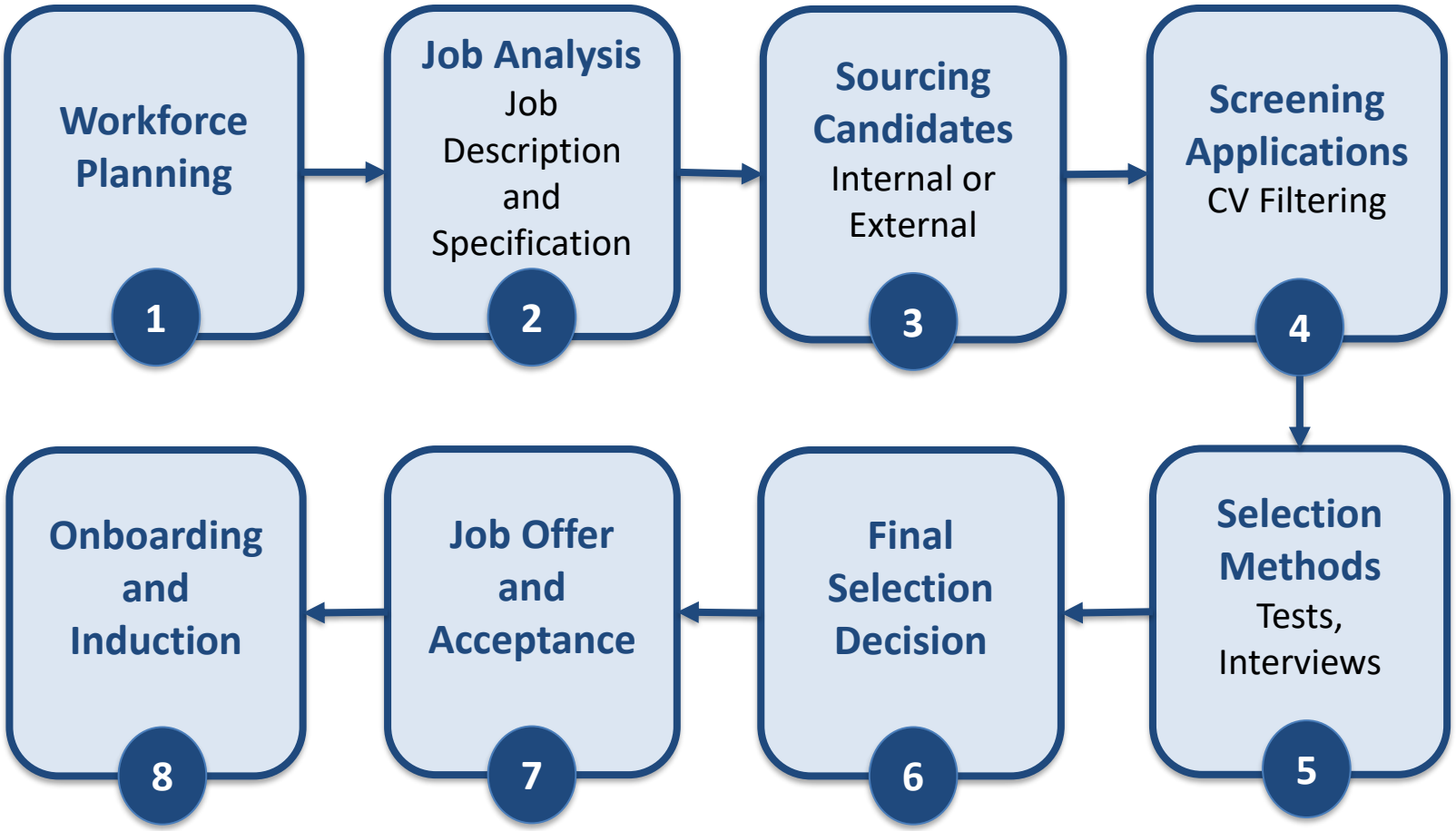


Purpose of Recruitment is to ensure the organization has a pool of qualified candidates to meet current and future workforce needs.



Achieved by defining job roles, attracting candidates, assessing suitability, ensuring cultural fit, and aligning hiring with business goals.

HR Recruitment Process



Recruitment Example:
Hiring Software Engineers at Virtusa

A leading IT company in Sri Lanka needs to hire 50 software engineers for a new international project with tight deadlines.

1. Workforce Planning
   - ❑ Identified need for Java and cloud-skilled engineers
2. Job Analysis
   - ❑ Defined roles: Software Engineer, Senior Engineer
   - ❑ Skills: Java, Spring Boot, AWS
3. Sourcing Candidates
   - ❑ LinkedIn and job portals
   - ❑ University recruitment (SLIIT, Mora, etc.)
   - ❑ Employee referrals

Recruitment Example:
Hiring Software Engineers at Virtusa

4. Screening
   - ❑ Shortlisting based on technical skills and experience
5. Selection
   - ❑ Online coding test
   - ❑ Technical interview
   - ❑ HR interview (culture fit)
6. Final Selection
   - ❑ Candidates evaluated on both technical ability + teamwork skills
7. Onboarding
   - ❑ Training program on company standards and project tools

Modern Recruitment Trends

- **Digital Recruitment**

  Use of online platforms and social media to attract and engage candidates.
- **E-Recruitment Systems**

  Use of automated systems for job postings, application tracking, and screening.
- **Employer Branding**

  Promoting the organization as an attractive place to work to attract top talent.



Modern Recruitment Trends

- **Data-Driven Recruitment**
  - Using analytics to improve hiring decisions and predict candidate success
- **Remote and Global Hiring**
  - Recruiting talent from different locations using virtual tools and interviews
- **Focus on Candidate Experience**
  - Ensuring a positive and smooth recruitment process to attract and retain candidates





In Class Activity 1

Multiple Choice Question

Which of the following best describes Human Resource Management?

A. Managing company finances

B. Managing people strategically to achieve organizational goals

C. Managing technology systems

D. Managing customer relationships



Multiple Choice Question

What is the main purpose of recruitment?

A. To reduce employee workload

B. To train employees

C. To create a pool of qualified candidates

D. To evaluate employee performance



Short Answer Question

State two key activities involved in the recruitment process.



Performance Management



A continuous and systematic process that improves individual and organizational performance by aligning employee goals with overall business objectives.



Involves ongoing activities such as performance planning, setting targets, monitoring progress, and providing regular feedback and reviews.



Focuses on employee development by identifying skill gaps, supporting learning, and enhancing capabilities to achieve better performance.

Performance Management Cycle



Acting

Employees carry out tasks and responsibilities while working toward agreed targets



Planning

Setting clear objectives, performance standards, and expectations aligned with organizational goals



Monitoring

Tracking progress, providing ongoing support, and identifying performance gaps



Development

Identifying training and development needs to enhance future performance



Reviewing

Evaluating performance through appraisals and feedback to assess achievements and areas for improvement

Key Components of Performance Management

- **Performance Planning**
  Setting clear goals, expectations, and performance standards aligned with organizational objectives.

- **Performance Measurement**
  Assessing employee performance using key performance indicators (KPIs) and agreed criteria.

- **Feedback and Communication**
  Providing continuous feedback and maintaining open communication between managers and employees.

- **Performance Review (Appraisal)**
  Periodically evaluating performance to identify achievements and areas for improvement.

- **Employee Development**
  Identifying skill gaps and supporting training and development for future performance.

- **Reward and Recognition**
  Linking performance outcomes to rewards to motivate and retain employees.

Reward Management



A systematic approach to rewarding employees based on their performance and contribution, aimed at attracting, motivating, and retaining talent.



Includes both financial rewards (salary, bonuses, incentives) and non-financial rewards (recognition, career growth, work-life balance) to enhance employee satisfaction.



Follows a total reward approach by aligning rewards with performance to improve engagement, commitment, and overall organizational performance.

Types of Rewards

Financial Rewards

Salary, annual bonus, or performance-based incentives.

Example: Bonus for completing a project on time.



Non-Financial Rewards

Employee recognition, flexible working hours, or training opportunities.

Example" "Employee of the Month" award.



Intrinsic Rewards

Personal satisfaction from solving a complex problem or successfully completing a challenging task.



Extrinsic Rewards

Promotion, pay raise, or public recognition given by the organization



Total Reward Concept

- The total reward concept is a holistic approach that combines both financial and non-financial rewards to attract, motivate, and retain employees.
- It includes elements such as pay, benefits, recognition, career development, and work-life balance to enhance overall employee experience.
- Aligns rewards with employee performance and organizational goals to improve engagement, commitment, and organizational effectiveness.



Importance of Rewards

- Rewards play a key role in **attracting and retaining talented employees** by offering competitive and fair compensation
- They help **motivate employees and improve performance** by linking rewards to individual and organizational achievements
- Rewards contribute to **employee satisfaction and engagement**, leading to higher commitment and overall organizational effectiveness



Reward Management Example: Google-Style Perks

Companies like Google use a **total reward approach** by combining financial rewards with innovative non-financial benefits to motivate employees.

- **Flexible Work Arrangements**
  Employees are given flexibility in working hours and remote work options, helping improve work-life balance and overall job satisfaction.
- **Innovation Time (e.g., 20% Time)**
  Employees are encouraged to spend a portion of their time working on personal or creative projects, fostering innovation and intrinsic motivation.
- **Impact on Employees**
  These rewards increase engagement, creativity, and commitment, leading to higher productivity and retention in competitive IT environments.



Google-Style Perks





In Class Activity 2

Multiple Choice Question

Which of the following best describes performance management?

A. A one-time annual employee evaluation

B. A continuous process of setting goals, monitoring, and improving performance

C. A system for paying employee salaries

D. A method of recruiting employees



Multiple Choice Question

What is the main purpose of reward management?

A. To punish low-performing employees

B. To reduce company costs

C. To motivate and retain employees

D. To assign job roles



Short Answer Question

State one financial reward and one non-financial reward used in organizations.



What is Leadership?



Leadership is the ability to **influence, guide, and inspire individuals or teams** to achieve organizational goals



It involves **providing direction, building commitment, and motivating employees** to perform effectively



Effective leadership focuses on **communication, trust, and aligning team efforts** with organizational objectives

Leadership Vs Management

 **Leadership**	 **Management**
Focuses on **inspiring, influencing, and motivating people** to achieve a shared vision.	Focuses on **planning, organizing, and controlling resources** to achieve organizational objectives.
Is people-oriented, focusing on inspiring, motivating, and building strong relationships with employees.	Is task-oriented, focusing on planning, organizing, and controlling work to achieve objectives.
Is change-driven, guiding teams through innovation, transformation, and new directions.	Is stability-focused, ensuring consistency, efficiency, and smooth operation of processes.

Agile Team Leadership vs Traditional Management

- **Agile Team Leader (Scrum Master)**

  Focuses on facilitating the team rather than controlling it—encourages collaboration, removes obstacles, and supports team members to self-manage.

  Example: In a sprint, the leader helps developers resolve blockers quickly and encourages daily stand-up discussions.

- **Traditional Manager**

  Focuses on planning, directing, and controlling work—makes decisions and assigns tasks to team members.

  Example: Assigns tasks to developers, monitors progress closely, and evaluates performance based on deadlines and output.

Leadership Styles



Autocratic Leadership

Leader makes decisions independently with minimal employee involvement; effective in urgent or high-control situations.



Democratic Leadership

Leader involves team members in decision-making, encouraging participation and collaboration.



Transformational Leadership

Leader inspires and motivates employees toward innovation, change, and achieving a shared vision.

Negotiation in HR



A process of discussion between parties to reach mutually acceptable agreements on workplace issues.



Used to manage employee relations, resolve conflicts, and negotiate terms such as salary, working conditions, and performance expectations.



Focuses on achieving win–win outcomes through effective communication, compromise, and mutual understanding.

Types of Negotiation

		
Collaborative (Win–Win) Negotiation	**Competitive (Win–Lose) Negotiation**	**Compromising Negotiation**
Both parties work together to find mutually beneficial solutions, focusing on long-term relationships and shared outcomes.	One party aims to gain maximum advantage, often at the expense of the other, focusing on short-term outcomes.	Both parties make concessions to reach a middle-ground agreement when full satisfaction is not possible.

Power in Organizations

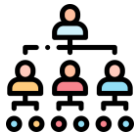


Power is the ability to influence the behavior, decisions, and actions of others within the organization.



Power is used to guide decisions, manage people, resolve conflicts, and achieve organizational goals

Sources of Power



Position-Based (Legitimate) Power

Power derived from an individual's formal role or authority within the organization.

Example: Manager directing team tasks.



Expert Power

Power gained from knowledge, skills, and expertise in a specific area.

Example: Senior developer influencing technical decisions.



Referent (Personal) Power

Power based on personal traits, relationships, and the ability to influence others through trust and respect.

Project Teams



Project teams are **groups of individuals brought together to achieve a specific goal or complete a project within a defined timeframe.**



They consist of members with **different skills and expertise**, working collaboratively to deliver project outcomes.



Project teams are typically **temporary and task-focused**, disbanding once the project objectives are achieved.



Characteristics of Effective Teams

- **Clear Goals and Purpose**

  Team members understand objectives and are aligned toward achieving common goals.
- **Defined Roles and Responsibilities**

  Each member knows their role and contribution, reducing confusion and overlap.
- **Effective Communication**

  Open and clear communication supports collaboration and problem-solving.
- **Trust and Cooperation**

  Strong relationships and mutual trust enhance teamwork and performance.
- **Leadership and Support**

  Effective leadership provides direction, guidance, and support to the team.
- **Commitment and Accountability**

  Members are responsible for their tasks and committed to team success.

Team Challenges

- **Communication Issues**

  Lack of clear communication can lead to misunderstandings and reduced collaboration.

- **Role Ambiguity**

  Unclear roles and responsibilities can cause confusion and inefficiency.

- **Conflict Among Members**

  Differences in opinions or personalities may lead to conflicts affecting performance.

- **Lack of Trust**

  Low trust among team members can reduce cooperation and teamwork.

- **Poor Leadership**

  Ineffective leadership may result in lack of direction and low team motivation.

- **Low Commitment**

  Lack of engagement or accountability can negatively impact team outcomes.



Sample Project Team in IT: Scrum Team

- A software development company forms a **project team** to build a mobile banking application within 6 months
- The team includes **developers, QA engineers, UI/UX designers, and a project manager**, each contributing specialized skills
- Team members collaborate through **Agile practices (e.g., sprints, daily stand-ups)** to complete tasks and meet project deadlines



Motivation



Motivation refers to the internal and external forces that influence employees' direction, effort, and persistence in performing their work.



Motivation enhances employee performance, engagement, and commitment, contributing to overall organizational effectiveness.

Personality



Personality refers to the unique patterns of behavior, attitudes, and characteristics that influence how individuals think, feel, and act in the workplace.



Includes traits such as openness, conscientiousness, extraversion, agreeableness, and emotional stability that shape behavior.



Personality affects job performance, teamwork, communication, leadership potential, and overall fit within the organization.

Big Five Personality Traits



Openness to Experience

Reflects creativity, curiosity, and willingness to try new ideas.



Conscientiousness

Indicates reliability, organization, and a strong sense of responsibility.



Extraversion

Describes sociability, energy, and assertiveness in interactions.



Agreeableness

Represents cooperativeness, trust, and friendliness toward others.



Emotional Stability (Neuroticism)

Refers to the ability to remain calm and handle stress effectively.



Importance of Personality in HR

- **Improves Recruitment Decisions**

  Helps select candidates who fit both the job requirements and organizational culture.
- **Enhances Teamwork**

  Understanding personality differences supports better collaboration and communication.
- **Supports Leadership Development**

  Identifies traits that influence leadership potential and effectiveness.
- **Improves Performance Management**

  Enables managers to tailor feedback and management styles to individual behavior.
- **Reduces Conflict**

  Awareness of personality differences helps manage and resolve workplace conflicts.
- **Enhances Employee Engagement**

  Aligning roles with personality traits increases job satisfaction and motivation.



In Class Activity 3

Multiple Choice Question

Which of the following best describes a transformational leader?

A. Focuses only on tasks and deadlines

B. Avoids communication with team members

C. Inspires and motivates employees toward a shared vision

D. Relies only on formal authority



Multiple Choice Question

Which type of power comes from knowledge and expertise?

A. Legitimate power

B. Expert power

C. Referent power

D. Coercive power



Short Answer Question

State one challenge faced by project teams and one way personality can influence teamwork.



Case Study Example: IFS Sri Lanka

IFS Sri Lanka, a well-known global enterprise software company with a strong presence in Sri Lanka, has faced challenges common in the local IT industry during periods of rapid change and global uncertainty.

Realistic Problems Observed:

- **High Employee Turnover**

  Skilled developers and engineers left for overseas opportunities or higher-paying remote jobs, especially after global remote work increased.

- **Retention Challenges Due to Global Competition**

  International companies hiring remotely created strong competition for local talent.

- **Employee Burnout and Low Motivation**

  High workload and tight project deadlines led to stress and reduced engagement among employees.

- **Adapting to New Technologies**

  Rapid shifts toward cloud, AI, and new platforms required continuous reskilling, creating pressure on employees.



Why this is Important?

This example reflects real HR challenges where organizations must:

- Strengthen **reward and retention strategies.**
- Focus on **employee well-being and motivation.**
- Invest in **learning and development**
- Support employees through **technological change.**



Solutions to Key Problems

- **High Employee Turnover → Strengthen Retention Strategies**
  - Offer competitive salaries aligned with global market rates.
  - Introduce retention bonuses and clear career progression paths.
  - Expand flexible and remote work options to compete with global employers.
- **Global Talent Competition → Enhance Employer Branding**
  - Promote company culture, innovation, and career growth opportunities.
  - Strengthen university partnerships and graduate hiring programs.
  - Build a strong employee value proposition (EVP).
- **Employee Burnout & Low Motivation → Improve Well-being & Rewards**
  - Introduce flexible workloads and better work-life balance policies.
  - Provide recognition programs and performance-based incentives.
  - Offer wellness programs (mental health support, leave policies).



Solutions to Key Problems

- **Adapting to New Technologies → Focus on Learning & Development**
  - Provide continuous training in cloud, AI, and emerging technologies.
  - Support certifications and career development plans.
  - Allocate time for learning and innovation (similar to “innovation time”).

- **Overall HRM Improvement → Integrated HR Strategy**
  - Strengthen performance management systems with regular feedback.
  - Improve communication between management and teams.
  - Align HR practices with long-term business and technology strategy.

Summary

- **HRM aligns people with business goals**

  HRM ensures that employees' skills, performance, and behaviors are aligned with organizational objectives, enabling the company to achieve strategic success through effective use of its human resources.

- **Recruitment + Performance + Rewards = Core HR**

  Effective HRM is built on attracting the right talent, continuously managing and improving performance, and rewarding employees fairly to maintain motivation and retention.

- **Leadership & Motivation drive success**

  Strong leadership provides direction and inspiration, while motivation ensures employees remain engaged and committed, leading to higher productivity and better team performance.

- **HR is critical in IT industry success**

  In the IT industry, where knowledge and skills are key assets, effective HRM practices are essential for innovation, talent retention, teamwork, and overall organizational competitiveness.